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March 4, 1994

To: Members of the Executive Board
From: The Secretary
Subject: Chad - Request for Stand-By Arrangement - Letter of Intent

Attached for consideration by the Executive Directors is a letter of intent from the President of Chad requesting a 12-month stand-by arrangement in an amount equivalent to SDR 16.52 million together with a memorandum on economic and financial policies for 1994. The staff paper describing and analyzing Chad's economic program will be issued shortly.

This subject is proposed to be brought to the agenda for discussion on Wednesday, March 23, 1994.

Mr. Riechel (ext. 34548) or Mr. Tchatchouang (ext. 38428) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Att: (1)

Other Distribution:
Department Heads

N'Djaména, March 4, 1994

Mr. Michel Camdessus
Managing Director
International Monetary Fund
700 19th Street, N.W.
Washington, D.C. 20431

Dear Mr. Camdessus:

1. It is with satisfaction that I transmit to you the attached memorandum on Chad's adjustment program for 1994, which sets out the range of policy measures in support of the realignment of the exchange rate of the CFA franc that was decided at the regional level on January 11, 1994 in Dakar. The memorandum covers the most urgent actions for normalization of public sector activities, restoration of financial balances, and a revival of the economy. However, in recognition of the nature and importance of the structural problems that beset the Chadian economy, it also outlines the medium-term objectives of economic reform, for which the authorities will seek to build a national consensus.

2. The program for 1994 focuses on three broad areas. First, the restoration of order in the public finances. This will involve above all significant measures to strengthen tax and customs duty administration and collection, the full integration of the Autonomous Amortization Agency into the Ministry of Finance, and a program to ensure regular wage payments and settle payments arrears to domestic suppliers. It will also involve the completion of the first phase of the demobilization program for the army by end-1994. Second, appropriate wage and price policies to consolidate the gains in competitiveness that flow from the exchange rate measure and to raise supply incentives. Third, a range of transitory social policies intended to provide the safety net that is needed to avoid undue hardship on the most vulnerable groups in society and to foster social peace. All these measures have been incorporated into the 1994 budget that will be approved by the Council of Ministers and submitted to the transitional National Assembly (CST) before consideration of the program by the Fund's Executive Board. In support of this program, the Government of Chad requests a 12-month stand-by arrangement from the International Monetary Fund in an amount equivalent to SDR 16.52 million (40 percent of quota).

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3. The authorities view the financial support to Chad under the requested stand-by arrangement as the beginning of a renewed close and lasting cooperation with the Fund. Successful implementation under the stand-by arrangement would provide a solid base for the timely initiation of discussions on a medium-term structural adjustment program that could be supported by resources under the enhanced structural adjustment facility. The structural policy measures outlined in this memorandum will thus serve as the basis for an intensification and broadening of economic policy reforms in favor of higher growth and a steady move toward fiscal and external viability.

4. The financing of the program for 1994 is covered by anticipated assistance from bilateral and multilateral creditors, as well as the rescheduling operations that have been requested by the Government of Chad from official bilateral creditors. The situation with regard to the financing will be examined at the time of the review under the arrangement.

5. The Government of Chad believes that the policies and measures described in the attached Memorandum on Economic and Financial Policies for 1994 are adequate to achieve the objectives of the program, but will take any additional measures that may become necessary for this purpose. The Government will consult with the Fund on the adoption of any measures that may be needed, in accordance with the Fund's policies on such consultations, and will provide the Fund with such information as the Fund may request in connection with the implementation of the policies of the program.

6. The Fund will conduct with the Government of Chad a review of progress in the implementation of the program supported by the stand-by arrangement, to be completed not later than August 31, 1994.

Very truly yours,

/s/

Col. Idriss Déby
President
Republic of Chad

Attachment: Memorandum on Economic and Financial Policies for 1994

CHAD

Memorandum on Economic and Financial Policies for 1994

N'Djaména, March 4, 1994

I. Background and Recent Economic Developments

1. Through most of the 1980s, the Chadian economy suffered from a combination of armed conflict with a neighboring country, recurring civil war, and a number of adverse exogenous developments that impaired agricultural production and export earnings. As a result, much of the physical and administrative infrastructure was destroyed, private sector activities were interrupted or, worse, came to a standstill, and investment and foreign financing was discouraged by the uncertain political and social environment. Hope for a reversal of the situation arose in 1987, when a certain stabilization of the political situation permitted the adoption, in June of that year, of a medium-term structural adjustment program that was supported by a three-year arrangement from the Fund under the structural adjustment facility (SAF) and the annual arrangements thereunder.

2. The results achieved under the program were, on the whole, positive and demonstrated that, under stable political and social conditions, and with the financial support of the international community, the public administration can function satisfactorily and private sector activities can resume. Real GDP increased at an average annual rate of 5 1/2 percent during 1988-90; inflation remained low, except for a brief flare-up in 1988; and the external current account deficit (excluding official transfers) narrowed from 32 percent of GDP in 1987 to 25 percent in 1990. Over the same period, tax revenue collection improved by 2 1/2 percent of GDP to reach almost 9 1/2 percent. The gains on the revenue side were, however, in large measure offset by higher spending, and hence the Government's overall fiscal deficit (excluding grants) remained almost unchanged.

3. Owing to renewed political tensions, economic activity was severely disrupted, and the functioning of public administration was increasingly compromised. Moreover, the integration of politico-military forces into the army inflated government spending, while it reduced regular revenue collection, notably at the customs level. These developments resulted in a sharp decline in confidence at home and abroad.

4. The country thus entered a vicious circle of breakdown in the public administration and weakening of private sector activity, which manifested itself in a number of ways. First, arrears on civil service salaries that accompanied the deterioration in government revenue performance kept increasing, reaching the equivalent of 6-8 months of pay on average by

end-1993. Combined with a decline in spending on materials and supplies, these arrears brought public administration to a standstill, further complicating the collection of taxes. Second, the continuous accumulation of payments arrears to suppliers, which was accompanied by increasingly cautious credit policies by commercial banks, took a severe toll on private firms, thereby eroding the tax base. Third, competitiveness was severely undermined by the steady real appreciation of the CFA franc vis-à-vis principal competitor countries that resulted from a strengthening of the French franc at a time when Chad's terms of trade were deteriorating. Together with the ongoing weakening of public administration, this encouraged fraud in external trade and domestic financial activities and favored commerce over production. More importantly, however, it caused a sharp decline in export revenues expressed in CFA francs, to the point that even key sectors such as cotton production were unable to assure the necessary financing for critical inputs and provide sufficiently attractive producer prices to cotton farmers. As a result, production and exports of cotton declined to barely over 60 percent of normal capacity, contributing to a drop in real GDP of about 4 percent in 1993. Similarly, the weakening of international competitiveness resulted in the closing of some enterprises and an increase in the need to subsidize others. The overall fiscal deficit remained large, the balance of payments was subject to great pressure, and there was a further substantial accumulation of both domestic and external payments arrears.

II. Economic and Financial Policies for 1994

New economic strategy

5. The authorities recognize the inherent dangers of the situation and consequently believe that it is imperative and urgent to break the vicious circle that besets the economy. They have therefore decided to adopt a new economic strategy, which will involve above all substantial and far-reaching domestic action aimed at restoring confidence and assuring a normalization of financial relations between Chad and its foreign and domestic creditors. In parallel with domestic action, it will also be important to restore and strengthen competitiveness, correct relative prices, increase production incentives, and reduce fraud. For this reason, Chad decided with its partners at the regional level to adjust, as a one-off measure, the exchange rate of the CFA franc from CFAF 50 to CFAF 100 per French franc, effective January 12, 1994. Indeed, the authorities intend to seize the occasion of the exchange rate realignment to break the vicious circle and spur economic growth. Consequently, they have designed a comprehensive and balanced package of domestic policy measures to accompany and strengthen the effects of the exchange rate action and assure its medium-term success.

6. The principal immediate objectives of the program are to strengthen private sector confidence so as to reverse the decline in the growth of the economy and achieve a positive rate of about 1 1/2 percent in 1994. The rate of inflation is targeted to return to single-digit figures by the end of 1994, and the external current account deficit (excluding official

transfers) to drop by about SDR 30 million to a level of SDR 164 million. It is also intended to arrest and reverse the decline in tax collection so as to stabilize the public finances. Moreover, monetary policy measures will aim at limiting inflationary expectations and easing the pressure on the balance of payments. With an appropriate interest rate policy, the authorities will also seek to encourage the reflow of capital, and thereby raise the level of domestic financial resources available for investment. Finally, selective and temporary price controls will dampen the initial price shock and limit the hardship of the most vulnerable segments of the population, while a broadening of public works projects will increase employment. Medium-term objectives for growth, inflation, and the public sector and external deficits, which are now still tentative, will be firmed up in connection with the planned structural adjustment program, for which preparations are under way.

7. Despite the efforts being made by the authorities, the program for 1994 entails considerable financing needs. In this regard, substantial financial assistance has already been assured from the donor community. To close the residual financing gap, the authorities have approached Chad's principal bilateral creditors for a rescheduling of arrears and debt service due in 1994. The authorities will make certain that all external assistance will be applied in such a way as to ensure the successful implementation of the program. Moreover, to elicit the broadest political support for the program at home, economic policies will be fully imbedded into the ongoing process of democratization. 1/ At the same time, all political parties and the social partners will be called upon to join in a national effort for economic recovery.

Fiscal policy

8. To restore order in the public finances, the authorities intend to concentrate on measures in the following areas. First, as a critical element of the intended general rehabilitation of the civil service, regular payments of salaries have been resumed as of January 1994, and the authorities will assure regularity of payments in future. Second, in an effort to revive the private sector, up to CFAF 10.4 billion (2 1/4 percent of GDP) of the outstanding payments arrears to domestic suppliers (totaling some CFAF 24 billion at end-1993) will be repaid in 1994. Third, with a view to enhancing revenue performance, the revenue services, especially the customs administration will be forcefully, and with immediate effect, rehabilitated and strengthened. Fourth, to assure a regular servicing of external and domestic debt, the Autonomous Amortization Agency (the Caisse autonome d'amortissement--CAA) will be fully integrated into the Ministry of Finance. Fifth, spending priorities will be corrected in favor of medium-term growth

1/ The process of democratization got under way in early 1993 with the convening of a national conference and the subsequent adoption of a charter for the transition Government and National Assembly. It is expected to be completed within the next 12-18 months with the holding of presidential, legislative, and municipal elections.

and social objectives, not least through the allocation of a significant share of budgetary resources to the health and education sectors. Taken together, these measures will imply in 1994 a substantial increase in the overall fiscal deficit on a cash basis. However, excluding the exceptionally high spending related to the settlement of domestic and external payments arrears, the authorities aim to reduce the current primary deficit, measured on a commitment basis, from 6.3 percent of GDP in 1993 to 3.5 percent in 1994, and to move to approximate balance by 1996. In contrast, the overall fiscal deficit could remain large in the coming years, given the urgent need to build and expand the economic and social infrastructure after many years of neglect and destruction. The authorities will ensure that the reconstruction program is consistent with sound macroeconomic objectives and is fully financed by external assistance on highly concessional terms.

9. A substantial improvement in tax and customs collections is fundamental for the success of the program. It is therefore the intention of the authorities to implement the following measures that are estimated to raise tax revenue by 1 1/4 percentage points to close to 7 1/4 percent of GDP (CFAF 32.4 billion) in 1994, after allowance is made for tax reductions, mainly for social purposes (see below). First, the measures on civil service pay, together with improved funding of office equipment, will help achieve a significant strengthening of tax collection. Second, more specific and bold measures will be introduced in the area of customs administration, notably in the collection of customs duties on petroleum products, in order to double revenue from taxes on international transactions, to CFAF 13.4 billion (3 percent of GDP) in 1994. To achieve this objective, the authorities will make every effort needed to assure an orderly and effective collection of customs duties, including the physical protection of regular customs officers and a decisive repression of fraud. At the same time, third, the practice of discretionary exemptions from customs duties will be abolished with immediate effect. Finally, the authorities will step up the collection of tax arrears. Together, these measures are expected to yield an increase in tax revenue by CFAF 12.7 billion in 1994 (including CAA).

10. Given the low morale in the civil service and the poor state of administrative offices and supplies, the return to a well-functioning public administration will require a large front-loaded investment in human capital and office equipment. With the help of external financing on appropriate terms, the authorities intend to lay the foundations for a new momentum in this direction. The authorities will also take steps toward a comprehensive integration of extrabudgetary operations into the budgetary process with effect from January 1, 1995. Meanwhile, they will strive to consolidate in 1994 the many accounts of ministries into a limited number of accounts in the banking system. With the full integration of the CAA's operations into the Ministry of Finance, the authorities will abolish the earmarking of its taxes. Moreover, in connection with the finalization of the 1994 budget, all of the CAA's revenue and expenditure operations have been made subject to the normal budgetary process and procedures. As a corollary, the authorities will pay to external creditors all accumulated arrears and current debt service not covered by debt relief arrangements, and will

provide in the future for regular debt service payments on external debt so as to avoid the accumulation of new arrears. In particular, the authorities will, on a regular basis, establish sufficient reserves in the Central Bank, and make advance purchases of SDRs, to ensure timely payments to the International Monetary Fund.

11. The authorities are concerned that the disarray in the health and education sectors, apart from severely hampering the long-term growth prospects of the economy, threatens to compromise more permanently the physical well-being of the population and impair the mindset and capacity of the country to progress in development. Therefore, under the 1994 budget, the Government intends to increase outlays in these sectors to their minimum standards, as agreed with the World Bank (CFAF 1.5 billion for primary health and CFAF 1.2 billion for primary education), and will make preparations for more adequate allocations to these priority sectors in the future. The Government will also raise current spending on building and road maintenance schemes to CFAF 1.8 billion in 1994. All other spending on goods and services will be frozen in real terms.

12. Should the availability of external financing, including rescheduling of debt service payments, be lower than programmed, compensatory revenue and expenditure measures will be taken. These may include a reduction in the settlement of payments arrears to domestic suppliers up to a level of CFAF 2 billion, but will not affect spending in priority sectors. Moreover, should the authorities decide to entrust the collection of customs duties on petroleum products to a private company, the attendant costs will be accommodated within the existing investment budget.

Wage and price policies

13. Appropriate wage and price policies will be critical for the exchange rate adjustment to produce the intended lasting gains in competitiveness and reallocation of resources. The authorities will therefore seek to keep wage increases under tight control, while allowing prices to move largely to their equilibrium levels. Regarding public sector wages and salaries (excluding defense), the authorities will in 1994 limit the increase in the wage and salary bill to 10 percent, for a level of CFAF 25 billion. To achieve this objective, they will maintain wage and salary rates unchanged from the levels set in connection with the presentation of the 1992 budget. At the same time, the cutback in wages that was introduced in 1992 will be eliminated in conformity with the decision of the National Conference. Moreover, from March 1994 onward, the regulations regarding the retirement age will be respected in full, which will result in a reduction in the government payroll by 1,000. On the other hand, employment in such priority sector as primary education and health will be raised by 280 and 90 persons, respectively. Together, these two latter measures will permit a net saving to the budget of CFAF 330 million. In the public enterprise sector, no wage increase will be granted before the submission of orderly enterprise accounts and a business plan for the new fiscal year. Moreover, any increase granted will not exceed that applicable to government wages. Settlement of accumulated wage arrears on top of the one month financed by

French exceptional budgetary assistance will be made only after a substantial and lasting improvement in the public finances has been reached. Moreover, salary payments will be made only to those employees who regularly report to work and fulfill their duties. The authorities will give notice to employees that their performance will be reviewed at the end of each year, and that continuation of employment and promotions will depend on satisfactory performance. The related performance evaluation will be part of a civil service reform that will be conducted with the assistance of the World Bank.

14. Regarding price policies, the dominant principle will be nonintervention by the Government in order to allow for the needed corrections of relative prices and to achieve the maximum effect on supply incentives. Where producer prices are administratively set, an upward adjustment in line with new international sales prices will be made. Specifically, in the cotton sector, the producer price has been raised from CFAF 80 per kilo of first choice cotton to CFAF 90 with retroactive effect for the 1993/94 season. Moreover, the producer price for the 1994/95 season will be set at CFAF 120 per kilo. These measures will provide for a substantial increase in incentives to grow cotton, while still assuring the return to profitability of COTONTCHAD. The windfall profits of COTONTCHAD from the 1993/94 season will be transferred entirely to the reactivated revenue-sharing fund (Fonds de soutien de la filière coton, FSFC). From the 1994/95 season onward, the income of cotton farmers will consist of two components: first, the guaranteed producer price, set at the beginning of the season at a prudent level in light of the projected international price of cotton and foreign exchange rates; and second, a revenue-sharing component established at the end of the season by the administrative committee of the FSFC along the lines of the mechanism set out in the first performance contract for COTONTCHAD.

15. Regarding consumer prices, the general principle of market determination will hold, except in a limited number of cases in which social and ecological concerns prevail. For example, to prevent an excessive increase in prices of such products in the early stages after the parity change, the prices of such consumer staples as rice and wheat flour were frozen for one month. Moreover, security stocks of these commodities will be used selectively to contain inflation. Finally, these and other imported commodities will benefit from the immediate reduction in customs duties to the rates proposed under the UDEAC tax and customs reform. Additional price abatement measures for a limited number of other consumer goods are described below.

Social policies

16. The principal benefits to the population at large and socially weak groups, in particular, will derive from the resumption of growth and employment under the program. However, as a complement, a package of social policy measures that is motivated by the objective of reducing hardship for the most vulnerable segments of society has been adopted, while offering more direct prospects of income to large numbers of unemployed through the organization and execution of urgently needed economic and social infra-

structure projects. The budgetary costs of the social safety net are estimated at CFAF 9.3 billion (2 percent of GDP), of which some 2/3 involves expenditure covered by earmarked foreign financing that has already been identified; this leaves approximately CFAF 3 billion to be financed out of untied budgetary resources. Apart from readying and using food security stocks in case of need for market stabilization, the authorities will therefore try, in the first place, to keep prices of some of the most essential consumer goods affordable. The authorities will temporarily freeze and subsidize, within prudent budgetary limits, the prices of water, pharmaceuticals, and kerosene. In the latter case, this action is also intended to protect the forests and strengthen reforestation. In the case of bread and sugar prices, interventions will aim at smoothening the move toward their equilibrium level, while allowing adequate profit margins of producers to maintain production incentives, including those for local substitutes. As to the price freeze for vegetable oil and soap, which are by-products of cotton production, a reassessment of the measure will be undertaken in collaboration with the shareholders of COTONTCHAD. As a general cost-cutting measure, the authorities have reduced the unit tax (taxe unique) for diesel fuel. Since diesel fuel is a principal input into the transportation sector of this landlocked country, this measure will also favorably affect the country's overall competitiveness. The subsidization of kerosene, and the reduction in fiscal revenue from diesel oil, will be fully compensated by the increase in tax revenue projected for super gasoline, which is considered to be a luxury product. Regarding electricity prices, the Government will seek an agreement with the other shareholders of the public electricity and water utility, the Société Tchadienne de l'Eau et l'Electricité (STEE), on a new price structure. In the absence of an agreement by end-March 1994, electricity prices will be raised on average by at least 20 percent, effective April 1994. As production costs will initially rise by more than that, this intervention in the price mechanism will involve a temporary subsidization until productivity in the STEE, and the recovery rate of water and electricity bills, have been brought to a satisfactory standard, an objective that has a high priority under the program.

17. For an expeditious generation of employment, the authorities will raise the budgetary allocation for the road maintenance program to CFAF 1.8 billion in 1994. They will also seek to obtain quick-disbursing funds from the World Bank to finance such infrastructure programs as ATETIP (Travaux d'infrastructure urbain), PADS (Programme d'action et de développement social), and the program for rural infrastructure (rural road systems). Furthermore, the authorities will identify additional social and economic infrastructure projects for a wider range of communities, and lay the foundations for their implementation. Finally, special food and nutrition programs for the most vulnerable groups will be introduced in collaboration with foreign aid institutions, notably NGOs.

Monetary policy

18. Monetary policy will aim to strike an appropriate balance between, on the one hand, the improvement of the balance of payments and protection of

foreign reserves and, on the other hand, the needed revival of private sector activity. In this regard, the monetary authorities will stand ready to meet emerging financing needs in the principal productive sectors. At the same time, the overall growth in credit will be contained, after taking into account the programmed repayment by the Government of arrears to domestic suppliers. To rein in inflationary expectations, and with a view to encouraging capital reflows and preserving sufficiently strong savings incentives, the authorities have already increased the principal interest rates. Thus, with effect from January 14, 1994, the refinancing rate of the BEAC has been raised from 11.5 percent to 14 percent. Similarly, the maximum bank lending rate was increased from 17.5 percent to 19 percent, the minimum credit rate from 7.75 percent to 9 percent, and the penalty rate on banks from 18 percent to 22 percent. At least for an interim period, these rates may still imply negative real interest rates. However, on the strength of the program, inflation is projected to decline rapidly and real interest rates are expected to return to a positive range soon. Additional policy measures will be taken, as needed, within the context of the regional monetary arrangements of the BEAC area. Finally, the authorities will actively participate in the ongoing regional efforts to strengthen monetary management and the functioning of the banking sector. In 1994 real money balances are expected to decline and the income velocity of money to increase, as a result of the cautious monetary stance assumed by the authorities, which calls for a growth of broad money by 26 percent. Net bank credit to the Government, excluding Fund purchases, is programmed to decline by CFAF 1.4 billion, owing to repurchases from the Fund and the intended repayment by the Government of the central bank advances in excess of the statutory limit that occurred in 1993. Private sector credit is projected to increase by 15 percent. As credits to the private sector will be augmented by the repayment of arrears to domestic suppliers, the financing situation of the private sector should allow for a healthy expansion.

III. Medium-Term Structural Reforms

19. In harmony with the ongoing process of democratization, the authorities intend to scale back the size of the military to the benefit of emerging civilian structures. They also plan to invigorate the economy by strengthening private initiative and incentives to produce, while enhancing the efficiency of public administration. Regarding the military, the authorities will ensure the continuation of the ongoing demobilization program, which is financed by external assistance and is expected to reduce the size of the military during 1994 by 7,000, to 25,000 soldiers.

20. For the revitalization of the economy and the achievement of higher economic growth over the medium term, the strengthening of private initiative is imperative. It must be accompanied by a strengthening of public administration and a tightening of public sector operations. A parallel medium-term objective of the authorities is thus the return to viability in the public finances as well as the external accounts. To move toward these objectives, the authorities will develop as soon as possible a

coherent structural adjustment program in collaboration with the Bretton Woods institutions. The principal areas of structural reform under such a program are outlined below.

21. Regarding the public finances, the authorities intend to play an active role in regional efforts to harmonize tax and customs regimes with the objective of a simplification of the systems, a broadening of tax bases (mainly through the removal of exemptions), and reductions in maximum and marginal tax and customs duty rates. While a general move toward UDEAC rates is not yet possible in 1994, all efforts will be made to move to these rates in 1995. All export taxes will be abolished as soon as the revenue situation permits. Finally, the authorities will streamline and computerize the operations of revenue departments and coordinate and strengthen efforts to reduce fraud. More generally, with the financial and technical assistance of the World Bank and other donors, the rehabilitation and reorganization of the civil service, as well as the adjustment of administrative structures and facilities, will be advanced speedily. It will be based on, and accompanied by, the process of prioritization for public spending referred to above, with an increasing emphasis being placed on economic infrastructure and human capital. It will also include measures to improve organization and efficiency in public administration and will entail, after a comprehensive study of the issues, adjustments in regulations regarding promotion and career streams of civil servants. At the same time, a thorough and extensive effort will be undertaken to increase the efficiency of public enterprises, and thereby reduce the need for subsidization. Where economically justified and politically feasible, privatization of public enterprises will be sought. Finally, in the light of the poor quality and consistency of economic statistics, the authorities will seek external assistance for the development of a reliable economic and financial data base.

22. Private initiative will be bolstered by both administrative and financial measures. On the administrative side, a general reassessment of procedures and legislation will be launched with the aim of reducing state intervention in private sector activities, increasing transparency, and reducing red tape. Priority areas in this respect will be revisions of the investment and labor codes. Regarding financial measures, a schedule for an orderly repayment of the remaining payments arrears to suppliers will be established, and every effort will be made to assure currentness of payments in the future. Moreover, the continued need for price controls will be examined at the time of the envisaged review under the program.

IV. External Sector Issues

23. In the initial phase of the program, the current account of the balance of payments will deteriorate in percent of GDP, but improve in foreign currency terms. The deterioration will be reined in by a cautious monetary policy and the immediate income effects on import demand, with the result that imports will drop by SDR 9 million. The trade balance will also benefit from the stabilization, after sharp declines in the past, of the

terms of trade. The supply response to improved competitiveness after the devaluation should be more fully felt from 1995 onward. Over the period 1994-96, the current account deficit (excluding official transfers) is projected to decline by 8 percent of GDP, to about 21 1/2 percent. The related restoration of a satisfactory level of foreign reserves is expected to be strengthened by the return of confidence and a corresponding improvement in private sector transfers and capital inflows.

24. During the program period, the Government does not intend to introduce or intensify any exchange restrictions, introduce or modify any multiple currency practices, conclude any bilateral payments agreements that are inconsistent with Article VIII of the IMF's Articles of Agreement, or introduce or intensify import restrictions for balance of payments reasons. Moreover, it plans to take all the requisite steps (including the elimination of all restrictions on payments and transfers for current international transactions) needed to prepare Chad's acceptance of the obligations of Article VIII, Sections 2, 3, and 4 as soon as possible. Limits on travel allowances will be administered in a nonrestrictive manner, and all bona fide requests in excess of these limits will be granted without undue delay. In view of the concern about the risk of capital flight and the use of the CFA franc currency for illegal external transactions, the authorities do not intend to resume soon the repurchase of CFA franc bank notes exported outside the WAMU, which was suspended, effective August 2, 1993.

V. Financing of the Program

25. In support of the program, the authorities are requesting a 12-month stand-by arrangement from the International Monetary Fund in an amount equivalent to SDR 16.52 million (40 percent of quota), of which SDR 14.04 or CFAF 11.4 billion in 1994. They are also taking all measures necessary to assure the quick disbursement of financial assistance from the World Bank equivalent to SDR 21.8 million (CFAF 17.8 billion). In addition, on the basis of the policy intentions undertaken under the program, Chad has been assured of financial assistance from France in an amount of SDR 77.3 million (CFAF 63 billion), including SDR 55.2 million in debt relief in the form of cancellation of principal (SDR 49 million) and interest payments (SDR 6.2 million). In 1994, the related debt service relief will cover arrears and current debt service obligations equivalent to SDR 5.1 million (CFAF 4.2 billion). Additional external financing in the form of budgetary aid is assured from France (SDR 22.1 million, or CFAF 18 billion), the European Union (SDR 12.2 million, or CFAF 9.9 billion) and the United States (SDR 2.2 million, or CFAF 1.8 billion). All together, therefore, the exceptional financing obtainable from the above sources amounts to SDR 77.4 million (CFAF 63.2 billion) in 1994. Furthermore, the authorities will seek to obtain rescheduling of eligible debt service, including arrears, due on official bilateral debt other than that covered by the French debt relief program. They will also approach donors to obtain food aid to restock supplies that were depleted as a result of unfavorable weather conditions in 1993 and the price stabilization measures taken after the exchange rate adjustment in early 1994, as described above. However, as

with the projected external resources in 1994 and a moderate decline in Chad's foreign reserves (SDR 0.6 billion), the financing need for 1994 is expected to be fully covered.

VI. Prior Actions, Benchmarks, and Performance Criteria

26. The Government of Chad will take the following actions prior to the Executive Board consideration of the program: (a) the full administrative integration of the Caisse autonome d'amortissement into the Ministry of Finance; (b) the approval by the Council of Ministers, and presentation to the transitional National Assembly, of the 1994 budget consistent with the program and including all operations of the CAA; and (c) the increase in the producer price of cotton from CFAF 80 per kilo (of first choice cotton) to CFAF 90 for the current season, and to CFAF 120 for the 1994/95 season. The execution of the 1994 program will be monitored by the quarterly performance criteria and benchmarks specified in the attached table. The quantitative performance criteria include: (a) a ceiling on the cumulative change in net domestic assets of the banking system; (b) a ceiling on the cumulative change in net credit of the banking system to the Government; (c) a minimum net reduction in the Government's stock of verified domestic payments arrears; (d) a reduction in external payments arrears; and (e) a zero ceiling for the contraction or guaranteeing of nonconcessional loans in the maturity range of 1-15 years and on disbursements of short-term credits (except normal import credits). The standard clause regarding the exchange and payments system will also constitute a performance criterion. The quantitative benchmarks include: (a) the regular payment of the government wage bill as budgeted; and (b) a minimum collection of tax revenue, including as a sub-target customs duties on petroleum products. There will also be the following structural benchmarks: (a) the collection of tax arrears from the 20 largest firms, no later than end-December 1994; and (b) the reduction and consolidation of ministries' accounts with the banking system, also by end-December 1994. In addition, there will be a review of the program supported by the stand-by arrangement from the Fund, to be completed not later than August 31, 1994. The review will place particular emphasis on (a) the functioning of the revenue departments, and the related achievement of the revenue objectives spelled out in the attached table; (b) progress in the consolidation of ministries' accounts with the banking system; and (c) the implementation of the rules for retirement of civil servants. The benchmarks for end-September and end-December 1994 will be assessed in the context of this review and may be transformed into performance criteria for purposes of the last two purchases under the arrangement.

Table 1. Chad: Performance Criteria and Benchmarks
Under the Stand-by Arrangement

(Cumulative flows in billions of CFA francs) 1/

	Outstanding		Cumulative changes from December 31, 1993			
	1993 End-Dec. Est.	1993 End-Dec. Adjusted	End-March (Perf. crit.)	End-June (Perf. crit.)	End-Sept. (Benchmarks)	End-Dec. (Benchmarks)
A. Quantitative performance criteria						
Net domestic assets of the banking system 2/	57.04	55.97	19.98 3/	19.31	19.76	18.66
Net credit of the banking system to the Government 2/	32.47	43.00	8.09 3/	8.26	9.10	8.28
Domestic payments arrears 4/	35.90	35.90	-1.96	-6.96	-10.96	-14.09
External payments arrears 4/ Of which: in cash	16.50 (6.60)	32.10 (13.20)	-- (--)	-- (--)	-16.60 (-7.20)	-32.10 (-13.20)
External loans contracted or guaranteed by the Government on nonconcessional terms:						
- less than 1 year's maturity 5/	--	--	--	--	--	--
- 1 to 15 years' maturity	--	--	--	--	--	--
B. Quantitative benchmarks						
Government wage bill	22.70	22.70	6.45	12.63	18.82	25.00
Tax revenue 6/ Of which: from petroleum products	24.55 (2.63)	24.55 (2.63)	6.70 (1.00)	16.70 (2.12)	26.00 (3.54)	37.19 (4.72)
C. Structural benchmarks						
1. Collection of tax arrears from the 20 largest firms by December 31, 1994						
2. Reduction and consolidation of ministries' accounts with the banking system by December 31, 1994						

1/ Stock data of end-December (adjusted) and flow data thereafter are calculated at the new exchange rate of F 1 = CFAF 100.

2/ Including deposits of Fund drawings and excluding revaluation accounts related to the base period stock of net foreign assets. In the event that external assistance is higher than programmed, the net domestic assets of the banking system and net bank credit to the Government will be reduced accordingly.

3/ The end-March 1994 data reflect the implicit assumption, for programming purposes, of the drawing under the stand-by arrangement of the first credit tranche of 25 percent of quota (SDR 10.3 million, or CFAF 8.4 billion) to which Chad is entitled. However, the authorities will try to keep the drawings as small as possible, to minimize use of GRA resources.

4/ Reduction in the stock identified at end-1993, valued at the new exchange rate. No new accumulation of arrears will be permitted, except on debt service that is expected to be rescheduled. The reduction in the level of domestic payments arrears may be affected by the availability of external financing, as explained in paragraph 12 of the memorandum.

5/ Excluding normal import-related credits, on disbursement basis.

6/ Including the Caisse autonome d'amortissement.